

KARNATAKA ACT NO 19 OF 2014
THE KARNATAKA STAMP (AMENDMENT) ACT, 2014
Arrangement of Sections

Sections:

1. Short title and commencement
2. Amendment of Section 9
3. Amendment of Schedule
4. Validation

STATEMENT OF OBJECTS AND REASONS

Amending Act 19 of 2014.- To give effect to the proposals announced in the Budget speech for the year 2014-15, it is considered necessary to amend the Karnataka Stamp Act, 1957 (Karnataka Act No. 34 of 1957), to provide for the following:-

- (1) to avoid double taxation by way of stamp duty levy, it is proposed to exempt the stamp duty on instrument of sale, executed by or between the Bangalore Development Authority and the concerned person, in connection with the allotment of alternate equivalent site to the allottee, consequent to de-notification of the land in question and pursuant to the cancellation of the preceding sale deed which is duly stamped.
- (2) to promote growth in the Aerospace industry, it is proposed to reduce or remit the stamp duty on instruments, executed by or between the concerned persons, in connection with the Karnataka Aerospace Policy 2013-23.
- (3) to give relief/remedy to the instruments exempted from the stamp duty, as specified in the Notification No.RD 144 MuNoMu 2003 dated:23-04-2003. It is proposed to validate the same.
- (4) to generate more revenue in the form of stamp duty, by way of better tax compliance, it is proposed to rationalize the stamp duty on Joint Development Agreement and its consequent power of attorney for joint development, by way of reducing the stamp duty from the current 5% to 2%.
- (5) to rationalize Stamp Duty on Award relating to movable property, it is proposed to reduce the stamp duty on such award from the current 5% to the rates, ranging from minimum $\frac{1}{4}$ (0.25) percent to maximum $\frac{3}{4}$ (0.75) percent, as per the recommendation of the Law Commission of Karnataka (twentieth report).
- (6) To promote the growth of trade/industry relating to the goods being imported in the State of Karnataka, it is proposed to reduce stamp duty on "Delivery order in respect of the goods": from the current 0.5% to 0.1% and to exempt stamp duty on such goods which are exempted from the levy of customs duty by the Government of India. This measure will also generate more revenue in the form of stamp duty by way of better tax compliance.

Hence the Bill.

[L.A. Bill No.36 of 2014, File No. Samvyashae 16 Shasana 2014]

[Entry 63 of List II of the Seventh Schedule to the Constitution of India.]

KARNATAKA ACT NO 19 OF 2014

(First Published in the Karnataka Gazette Extra-ordinary on the Twenty–eighth day
of February, 2014)

THE KARNATAKA STAMP (AMENDMENT) ACT, 2014

(Received the assent of the Governor on the Twenty–eighth day of February, 2014)

An Act further to amend the Karnataka Stamp Act, 1957.

Whereas it is expedient further to amend the Karnataka Stamp Act, 1957 (Karnataka Act 34 of 1957), for the purposes hereinafter appearing;

Be it enacted by the Karnataka State Legislature in the sixty-fifth year of the Republic of India as follows:-

1. Short title and commencement.– (1) This Act may be called the Karnataka Stamp (Amendment) Act, 2014.

(2) It shall come into force with effect from the first day of March 2014.

2. Amendment of Section 9.– In the Karnataka Stamp Act, 1957, (Karnataka Act 34 of 1957) (hereinafter referred to as the Principal Act), in section 9, in sub-section (1), in clause (a),-

(i) after the sixth proviso, the following shall be inserted, namely:-

“ Provided also that, the State Government may, in public interest, by notification, reduce or remit stamp duty on an instrument, to be specified therein from time to time, executed,-

(a) by or between the Bangalore Development Authority and the concerned allottee, in connection with the allotment of alternate equivalent site, consequent to de-notification of the land in question and pursuant to the cancellation of the preceding sale deed which is duly stamped; and

(b) by or between the concerned persons, in connection with the Karnataka Aerospace Policy 2013-23, specified in the Government Order No.CI 17 SPI 2012, dated:06-02-2013 or specified by the State Government from time to time.

(ii) after the seventh proviso, the following shall be inserted, namely:-

“Provided also that, the State Government may, in public interest by notification reduce or remit stamp duty payable on instruments specified in notification No.RD 144 MuNoMu 2003 dated:23-04-2003.”

3. Amendment of Schedule.– In the schedule to the principal Act, in Article 5,-

(i) in clause (e), in column (3), for the proviso at the end the following shall be substituted; namely:-

"provided that the duty paid on power of attorney under Articles 41(e) or 41(eb), as the case may be, is adjustable towards the duty payable on agreement for sale under Article 5(e) or instrument of sale or transfer, as the case may be, executed between the same parties and in respect of the same property;"

(ii) for clause (f), and the entries relating thereto, the following shall be substituted, namely:-

"

(f) If relating to construction or development of immovable property, including a multi unit or multi storied house or building or apartment or flat, or portion of it, executed by and between owner or lessee, as the case may be, and developer, having a stipulation, whether express or implied, that, in consideration of the owner or lessee conveying or transferring or disposing off, in any way, the undivided share or portion of land or immovable property; the developer agrees to convey or transfer or dispose off, in any way, the proportionate or agreed share or portion of the constructed or developed building or immovable property to the owner or lessee, as the case may be. <u>Explanation:</u> The term "Developer" includes promoter or builder or by whatever name called.	Two Rupees for every one hundred rupees or part thereof, on the Market Value of such undivided share or portion of land or immovable property, consideration and money advanced, if any; or On the Market Value of such share or portion of the constructed or developed building or immovable property, consideration and money advanced, if any; Whichever is higher: Provided that, if the proper stamp duty is paid under clause (ea) of the Article 41 on power of Attorney, executed by and between the same parties and in respect of the same property, then the stamp duty payable on the corresponding agreement under clause (f) of article 5, shall not exceed rupees two hundred." Explanation: The term "money advanced" in this Article, means and includes the security deposit whether refundable or adjustable.
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(iii) for article 11, and the entries relating thereto the following shall be substituted, namely:-

" 11. Award,- that is to say, any decision in writing by an arbitrator or umpire, not being an award directing a partition, on a reference made otherwise than by an order of the Court in the course of a suit. (a) If the property, which is the subject matter of award, is immovable property.	The same duty as the conveyance [under Article 20(1)] on the market value of the such property, or consideration, whichever is higher.
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(b) If the property, which is the subject matter of award, is movable property, (i) Where the amount or market value of the property, as set forth in the award, does not exceed Rupees fifty lakhs. (ii) Where the amount or market value of the property exceeds rupees fifty lakhs but does not exceed rupees five Crores. (iii) Where the amount or market value of the property exceeds rupees five Crores.	$\frac{3}{4}$ % of the amount or market value. Rupees thirty seven thousand five hundred plus $\frac{1}{2}$ % of the amount or market value exceeding Rupees fifty lakhs. Rupees thirty seven thousand five hundred plus two lakhs twenty five thousand plus $\frac{1}{4}$ % of the amount or market value exceeding Rupees five crores".
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(iv) In article 24,-

(a) against the entries in column 2, in column 3 the following shall be inserted, namely:-

"One rupee for every one thousand rupees or part thereof on the value of such goods.";

(b) items (i) and (ii) in column 2 shall be omitted; and

(c) in column 2, at the end, the following shall be inserted, namely:-

"Exemption.- Goods imported which are exempted from levy of customs duty by the Government of India."

(v) In article 41,-

(a) in clause (e) in column 3, for the proviso, the following shall be substituted, namely:-

"Provided that the duty paid on agreement for sale under Article 5(e) or instrument of sale or transfer as the case may be, is adjustable towards the duty payable on such power of attorney under Article 41 (e), executed between the same parties and in respect of the same property.";

(b) for clause (ea) and the entries relating thereto, the following shall be substituted, namely:-

" (ea) If relating to construction or development of immovable property, including a multi unit or multi storied house or building or apartment or flat, or portion of it, executed by and between owner or lessee, as the case may be, and developer, having a stipulation, whether express or implied, that, in consideration of the owner or lessee conveying or	Two Rupees for every one hundred rupees or part thereof, on the Market Value of such undivided share or portion of land or immovable property, consideration and money advanced, if any; or On the Market Value of such share or portion of the constructed or developed building or immovable property, consideration and money advanced, if any;
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transferring or disposing off, in any way, the undivided share or portion of land or immovable property; the developer agrees to convey or transfer or dispose off, in any way, the proportionate or agreed share or portion of the constructed or developed building or immovable property to the owner or lessee, as the case may be. Explanation: The term "Developer" includes promoter or builder or by whatever name called.	whichever is higher. Provided that, if the proper stamp duty is paid under clause (f) of the Article 5 on an agreement for sale, executed by and between the same parties and in respect of the same property, then the stamp duty payable on the corresponding power of attorney under clause (ea) of article 41, shall not exceed rupees two hundred." Explanation: The term "money advanced" in this Article, means and includes the security deposit whether refundable or adjustable.
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(c) in clause (eb) in column 3, for the proviso, the following shall be substituted, namely:-

"Provided that the duty paid on agreement for sale under Article 5(e) or instrument of sale or transfer as the case may be is adjustable towards the duty payable on such power of attorney under Article 41 (eb), executed between the same parties and in respect of the same property."

4. Validation.- Notwithstanding anything contained in section 9 of the principal Act, as existed prior to commencement of the Karnataka Stamp (Amendment) Act, 2014 the exemption/remission of stamp duty granted under notification No.RD.144.Munomu.2003 dated 23-04-2003 shall be deemed to have been granted under section 9, as amended by the Karnataka Stamp (Amendment) Act, 2014.

By Order and in the name of the Governor of Karnataka,

S.B. GUNJIGAVI

Secretary to Government

Department of Parliamentary Affairs and Legislation